cabinet resolution on 3 July 1967 demanding that the then prime minister, Indira Gandhi, demonetise ‘all currency notes above Rs 10’ to ‘arrest the deterioration in the economy’.[8] These debates formed the political backdrop for the Union government’s appointment of a committee, led by a distinguished bureaucrat, to study the problem of black money. The Wanchoo Committee report (1971), kept secret for a few months but later presented to Parliament, unanimously recommended demonetisation.[9]

Through the 1970s, this idea took such a hold of the country’s political imagination that even several prominent Congress leaders—a group of 100 AICC members,[10] the West Bengal Congress Committee[11] and a number of ruling-party MPs[12]—demanded it. So pervasive was this talk that, at least on one occasion (in August 1973), rumours of sudden demonetisation led to panic-selling of ₹100 notes in Delhi and a sudden increase in the price of gold, forcing a clarification from the finance minister.[13] Not surprisingly, this culminated in the post-Emergency Janata government’s decision to withdraw high-denomination currency notes (₹1,000, ₹5,000 and ₹10,000) in January 1978.[14] The Jan Sangh, of course, was part of that government.

Foreshadowing the debate around Modi’s 2016 decision, Opposition parties responded in 1978 by accusing the Janata Party of pushing the move for political motives ahead of the impending elections to forestall opponents with secret funds.[15] Indira Gandhi alleged that selective leaks of the news to ‘certain private banks’ prior to the announcement had allowed them to exchange notes in advance for commercial benefits.[16] Thereafter, the idea of demonetisation as an effective economic instrument faded away from public debate.[17] The last time it was mentioned in major newspapers was in 1991, the year Manmohan Singh, as finance minister, initiated economic reforms.[18]

This pre-history shows how powerful the idea of demonetisation was for the early Jan Sangh and other Opposition parties in the 1970s, the decade in which Narendra Modi came of age as an RSS pracharak. It is not unreasonable that he would have been familiar with this history when, as a state government head four decades